

Alumex PLC

Interim Report



2

Second Quarter

Six Months Ended 30th September, 2024

Statement of Profit or Loss

For the period ended 30th September, 2024

Company		Company			Company		
Audited year ended 31.03.24 Rs.'000		Unaudited 06 months to 30.09.24 Rs.'000	Unaudited 06 months to 30.09.23 Rs.'000	Change %	Unaudited 03 months to 30.09.24 Rs.'000	Unaudited 03 months to 30.09.23 Rs.'000	Change %
	Notes						
10,992,977	Revenue	5,925,211	4,203,864	41	3,272,476	2,420,044	35
(8,727,344)	Cost of sales	(4,790,451)	(3,520,724)	36	(2,637,620)	(1,868,940)	41
2,265,633	Gross profit	1,134,760	683,141	>100	634,856	551,104	>100
53,775	Other income	17,891	26,328	(32)	12,031	4,427	172
(430,942)	Distribution expenses	(245,447)	(205,219)	20	(143,264)	(103,442)	38
(835,831)	Administrative expenses	(461,703)	(395,633)	17	(245,395)	(206,851)	19
-	Other expenses	(876,544)	-	100	(1,628)	-	100
1,052,635	Results from operating activities	(431,044)	108,617	>100	256,600	245,239	>100
648,257	Finance income	58,758	387,412	(85)	27,754	288,684	(90)
(1,469,171)	Finance costs	(407,811)	(886,082)	(54)	(197,461)	(532,482)	(63)
(820,914)	Net finance costs	(349,053)	(498,670)	(30)	(169,707)	(243,798)	(30)
231,721	Profit / (Loss) before tax	(780,097)	(390,053)	>100	86,894	1,441	100
(45,649)	Tax (expense)/reversal	206,710	103,774	99	(23,025)	(383)	100
186,072	Profit / (Loss) for the period	(573,387)	(286,279)	>100	63,868	1,057	>100
	Attributable to:						
186,072	Owners of the Company	(573,387)	(286,279)	>100	63,868	1,057	>100
	Earnings per share						
0.31	Basic earnings per share (Rs.)	(0.96)	(0.48)		0.11	0.00	

Statement of Comprehensive Income

Company		Company			Company		
Audited year ended 31.03.24 Rs.'000		Unaudited 06 months to 30.09.24 Rs.'000	Unaudited 06 months to 30.09.23 Rs.'000	Change %	Unaudited 03 months to 30.09.24 Rs.'000	Unaudited 03 months to 30.09.23 Rs.'000	Change %
186,072	Profit / (Loss) for the period	(573,387)	(286,279)	>100	63,868	1,057	>100
	Other comprehensive income						
21,105	Actuarial gains / (losses) on defined benefit plans	-	-		-	-	
(6,332)	Income tax effect on actuarial gains / (losses)	-	-		-	-	
-	Revaluation of land	-	-		-	-	
-	Income tax effect on revaluation surplus	-	-		-	-	
14,773	Other comprehensive income / (expense) for the period, net of tax	-	-		-	-	
200,845	Total comprehensive income / (expense) for the period, net of tax	(573,387)	(286,279)	>100	63,868	1,057	>100

Statement of Financial Position

Company		Company	
	Audited as at 31.03.24 Rs.'000	Notes	Unaudited as at 30.09.23 Rs.'000
ASSETS			
Non - current assets			
4,702,939	Property, plant & equipment	4,053,902	4,620,550
238,025	Right of use asset	236,827	243,087
73,369	Intangible assets	67,200	76,579
5,014,333	Total non - current assets	4,357,929	4,940,217
Current assets			
5,139,699	Inventories	5,757,599	3,468,616
2,055,758	Trade and other receivables	2,037,677	1,058,956
580,038	Advances and prepayments	2,340,129	364,925
16,487	Income tax recoverable	16,488	17,956
74,945	Cash & cash equivalents	153,757	165,042
7,866,927	Total current assets	10,305,650	5,075,495
12,881,260	Total assets	14,663,579	10,015,713
EQUITY AND LIABILITIES			
283,735	Stated capital	05 283,735	283,735
228,056	Capital reserves	228,056	228,056
700,304	Other components of equity	697,661	703,125
2,597,347	Revenue reserves	2,026,603	2,107,396
3,809,442	Total equity attributable to owners of the parent	3,236,055	3,322,312
-	Non - controlling interest	-	-
3,809,442	Total Equity	3,236,055	3,322,312
Non - current liabilities			
931,990	Interest bearing borrowings	764,207	387,700
211,524	Non current portion of lease liabilities	217,266	206,331
222,397	Employee benefit obligations	249,976	218,661
496,199	Deferred tax liability	289,489	341,914
1,862,110	Total non - current liabilities	1,520,938	1,154,606
Current liabilities			
2,082,149	Trade and other payables	2,768,913	1,402,576
655,630	Current portion of long term interest bearing borrowings	544,408	573,067
67,941	Current portion of lease liability	67,941	74,309
4,378,527	Short-term interest bearing borrowings	6,498,338	3,464,592
25,461	Provisions	26,986	23,382
-	Other current financial liabilities	-	869
7,209,708	Total current liabilities	9,906,586	5,538,793
9,071,818	Total liabilities	11,427,524	6,693,399
12,881,260	Total equity and liabilities	14,663,579	10,015,713

The Financial Position as at 30th September 2024 and Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flow for the six months then ended are drawn up from the unaudited financial statements of the Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007.

Sgd

R P P K Rajapaksha
Director / Chief Financial Officer

Signed for and on behalf of the Board

The Board of Directors are responsible for these Financial Statements. Signed for and on behalf of the Board,

Sgd
A M Pandithage
Chairman
30th October 2024

Sgd
D W P N Dediwela
Managing Director

Statement of Changes in Equity

For the period ended 30th September, 2024

Company

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st April, 2024	283,735	228,056	700,304	2,597,347	3,809,442
Profit / (Loss) for the period	-	-	-	(573,387)	(573,387)
Surcharge tax paid	-	-	-	-	-
Other comprehensive income					
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total comprehensive expense for the period	-	-	-	(573,387)	(573,387)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfers	-	-	(2,643)	2,643	-
Total contributions by and distributions to owners	-	-	(2,643)	2,643	-
Balance as at 30th September 2024	283,735	228,056	697,661	2,026,603	3,236,055

Balance as at 30th September, 2023

Company

Balance as at 1st April, 2023	283,735	228,056	705,588	2,391,212	3,608,593
Profit/(Loss) for the period	-	-	-	(286,279)	(286,279)
Other comprehensive income					
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on revaluation surplus	-	-	-	-	-
Depreciation transfer for building	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	(286,279)	(286,278)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfer	-	-	(2,463)	2,463	-
Total contributions by and distributions to owners	-	-	(2,463)	2,463	-
Balance as at 30th September 2023	283,735	228,056	703,125	2,107,396	3,322,312

Statement of Cash Flow

For the period ended 30th September, 2024

Company		Company	
Audited as at 31.03.24 Rs.'000	Cash Flows from Operating Activities	Unaudited 6 months to 30.09.24 Rs.'000	Unaudited 6 months to 30.09.23 Rs.'000
231,721	Profit/(Loss) before taxation	(780,097)	(390,053)
	Adjustments for,		
830,232	Finance cost	350,275	472,625
(5,419)	Finance income	(2,173)	(3,115)
55,401	Provision for gratuity	30,470	17,986
2,608	(Profit) / Loss on disposal of property, plant and equipment	(22)	-
-	Other operating Income	(11,492)	(9,994)
-	Loss on fire damages	876,544	-
23,408	Provision/(Reversal) for Inventory	132,858	(106,513)
(2,279)	Provision/(Reversal) for bad debts	(4,636)	11,704
(5,238)	Provision/(Reversal) for impairment of property, plant & equipment	-	-
379,340	Depreciation and amortization	203,649	196,014
1,509,774	Operating profit before working capital changes	795,376	188,653
(1,506,502)	(Increase) / Decrease in inventories	(937,409)	294,503
(770,488)	(Increase) / Decrease in trade and other receivables	22,717	197,100
(177,371)	(Increase) / Decrease in advances and prepayments	(1,760,091)	(22,052)
391,702	Increase / (Decrease) in trade and other payables	688,290	(214,057)
(552,885)	Cash (Used in) / Generated from operating activities	(1,191,117)	444,146
(793,853)	Finance cost paid	(332,474)	(454,978)
-	Other Income Received	11,492	9,994
(18,873)	Retirement benefit liability paid	(2,891)	(6,300)
(1,365,611)	Net cash (Used in) / Generated from operating activities	(1,514,990)	(7,138)
	Cash flows from investing activities		
(365,578)	Acquisition of property, plant and equipment / intangible asset	(212,934)	(130,787)
2,595	Proceeds from sale of property, plant and equipment	48	-
5,419	Finance income received	2,173	3,115
(357,566)	Net cash (Used in) / Generated from investing activities	(210,713)	(127,672)
	Cash flows from financing activities		
(641,569)	Repayment of interest bearing loans and borrowings	(379,259)	(268,422)
1,000,000	Proceeds from interest bearing loans and borrowings	100,255	-
(77,897)	Lease rental paid	(36,294)	(35,379)
280,536	Net cash (Used in) / Generated from financing activities	(315,298)	(303,801)
(1,442,643)	Net (Decrease) / Increase in cash and cash equivalents	(2,040,999)	(438,611)
(2,860,939)	Cash and cash equivalents at the beginning of the year	(4,303,582)	(2,860,939)
(4,303,582)	Cash and cash equivalents at end of the period	(6,344,581)	(3,299,550)
	Analysis of cash & cash equivalents		
74,945	Cash in hand and at bank	153,757	165,042
(4,378,527)	Short-term interest bearing borrowings	(6,498,338)	(3,464,592)
(4,303,582)	Cash and cash equivalents at end of the period	(6,344,581)	(3,299,550)

Notes to the Financial Statements

01. BASIS OF PREPARATION

The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2024.

The accounting policies adopted in the preparation of the Interim Condensed Financial Statements are consistent with those followed in the preparation of the Annual Financial Statements for the year ended 31st March 2024.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

02. COMPARATIVE INFORMATION

Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

03. OTHER EXPENSES

During the year, a fire occurred in the Company's facility in Ekala, resulting in damage to Property, Plant and Equipment, and Inventory. The Company has recognised the possible impact of the fire in the Financial Statements. The Company has since submitted the insurance claim, and any proceeds received thereof will be recognised in the Financial Statements at the time of receipt.

The impact of the fire on damages to Property, Plant and Equipment and Inventories amounts to Rs. 877 Mn.

04. EARNINGS PER SHARE

Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period.

Company Audited as at 31.03.24 Rs.'000	Company	
	Unaudited	Unaudited
	as at	as at
	30.09.24 Rs.'000	30.09.23 Rs.'000
186,072 Profit / (Loss) for the period	(573,387)	(286,279)
598,605,680 Weighted Average No. of Shares	598,605,680	598,605,680
0.31 Diluted and Basic Earnings Per Share	(0.96)	(0.48)

05. STATED CAPITAL

Audited as at 31.03.24 Rs.'000	Unaudited	
	Unaudited	Unaudited
	as at	as at
	30.09.24 Rs.'000	30.09.23 Rs.'000
Issued and fully paid		
283,735 598,605,680 Ordinary Shares	283,735	283,735

06. CONTINGENCIES, CAPITAL AND OTHER COMMITMENTS

There has been no significant change in the nature of the contingencies and commitments, which were disclosed in the annual report for the year ended 31st March 2024, except for the disclosed below;

06.1 Capital Commitments

Nature of transaction	Capital commitment (Rs.000)
Powder coating plant	250,244
Steel Structure of the building	800
Civil work	101,728
Total	352,771

06.2 Contingent Liabilities

The Company has received a tax assessment amounting to Rs. 85,145,893 relating to Alco Industries (Pvt) Ltd, which was previously amalgamated with Alumex PLC. To avoid further interest accumulation on this liability, the Company decided to pay the assessment amount, which includes a penalty of Rs. 10,760,808 and accumulated interest of Rs. 20,580,045. The Company has appealed to the Tax Appeal Commission, where the assessment is currently under review.

07. EVENTS OCCURRING AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to or disclosure in the Financial Statements.

Investor Information

01. MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	30.09.2024	30.09.2023
	<u>Rs.</u>	<u>Rs.</u>
Last traded price	12.00	9.60
Highest price recorded for the three months ending	12.00	10.60
Lowest price recorded for the three months ending	10.30	7.70
Market capitalisation (Rs. Mn.)	7,123	5,747

02. RATIOS

	30.09.2024	30.09.2023
Net assets per share	5.41	5.55
Price earnings ratio (Times) (Annualised)	(6.26)	(10.04)
Return on equity	-17.49%	-8.17%
Return on assets	-3.91%	-2.86%
Current ratio	1.04	0.92
Gearing	71%	59%

03. SHARE TRADING FROM 1st July, 2024 to 30th September, 2024

No. of transactions	1,697
No. of shares traded	13,069,024
Value of shares traded (Rs.)	147,197,664

Investor Information

04. TWENTY LARGEST SHAREHOLDERS AS AT 30th September 2024

	Name of the Shareholder	No. of Shares as at 30.09.2024	%	No. of Shares as at 30.06.2024	%
1	Hayleys PLC	314,826,064	52.59	314,826,064	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	80,169,400	13.39	80,169,400	13.39
3	Dean Foster (Pvt) Ltd A/C No.1	28,427,800	4.75	28,427,800	4.75
4	Mr.D.W.P.N.Dediwela	21,338,400	3.56	21,338,400	3.56
5	Sampath Bank PLC/Senthilverl Holdings (Pvt) Ltd	15,383,195	2.57	-	-
6	Cargills Bank Limited/Senthilverl Holdings (Pvt) Ltd	9,015,994	1.51	5,778,613	0.97
7	Sampath Bank PLC/Dr. T. Senthilverl	7,800,000	1.30	7,800,000	1.30
8	Rubber Investment Trust Ltd A/c No. 01	5,030,421	0.84	6,030,421.00	1.01
9	Deutsche Bank AG-National Equity Fund	4,416,949	0.74	4,416,949	0.74
10	Senthilverl Holdings (Pvt) Ltd	4,092,725	0.68	2,491,063	0.42
11	Rosewood (Pvt) Limited-A/C No 1	3,279,687	0.55	1,092,796	0.18
12	Mr. K.D.H. Perera	2,944,907	0.49	2,944,907	0.49
13	SSBT-Parametric Tax-Managed Emerging Markets Fund	2,884,726	0.48	2,884,726.00	0.48
14	Bank of Ceylon No. 1 Account	2,254,360	0.38	2,254,360	0.38
15	Mr. A.M. Weerasinghe	2,000,000	0.33	2,000,000	0.33
16	Dr. C.D. Wickramatillake	2,000,000	0.33	2,000,000	0.33
17	Commercial Bank of Ceylon PLC /EWB Equities (Private) Limited	2,000,000	0.33	-	-
18	Thread Capital (Private) Limited	1,683,701	0.28	1,334,317	0.22
19	Mr. A.L.F. De Mel	1,600,000	0.27	1,600,000	0.27
20	Kaystone (Private) Limited	1,600,000	0.27	1,600,000	0.27
		512,748,329	85.66	488,989,816	81.69

There were no non - voting shares as at 30th September 2024.

05. PUBLIC HOLDING

	30.09.2024	30.06.2024
Percentage of public holding	25.60%	25.60%
Total number of shareholders representing the public holding	4,617	4,749
Float-adjusted market capitalization	Rs.1,823,592,344	Rs.1,762,295,122

The Company complies with option 1 of the Listing Rules 7.13.1 (i) (b) – Which requires Float Adjusted Market Capitalization of Rs.1 Bn and minimum number of shareholders of 200.

06. DIRECTORS' SHAREHOLDINGS AS AT 30th September 2024

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No of Shares	
	30.09.2024	30.06.2024
Mr. A.M. Pandithage	20,000	20,000
Mr. S.C. Ganegoda	460,000	460,000
Mr. D.W.D.N. Dediwela	21,338,400	21,338,400
Mr. A.A. Akbarally	-	-
Dr. L.J.S.H. Cabral	-	-
Mr. S. Munaweera	40,000	40,000
Mr. R. P. P. K. Rajapaksha	39,814	39,814
Mr. M.J.S. Rajakariar	-	-
Mr. D.T.R. de Silva	-	-
Total	21,898,214	21,898,214

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31st March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

Mr. A.M. Pandithage – Chairman
Mr. S.C. Ganegoda – Deputy Chairman
Mr. D.W.D.N. Dediwela – Managing Director
Mr. A.A. Akbarally
Dr. L.J.S.H. Cabral, PC
Mr. S. Munaweera
Mr. R.P.P.K. Rajapaksha
Mr. M.J.S. Rajakariar
Mr. D.T.R. De Silva

AUDIT COMMITTEE

Mr. D.T.R. De Silva – Chairman
Mr. S. Munaweera
Mr. M.J.S. Rajakariar

REMUNERATION COMMITTEE

Mr. D.T.R. De Silva – Chairman
Dr. L.J.S.H. Cabral, PC
Mr. M.J.S. Rajakariar

NOMINATION AND GOVERNANCE COMMITTEE

Mr. D.T.R. De Silva – Chairman
Dr. L.J.S.H. Cabral, PC
Mr. M.J.S. Rajakariar

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. D.T.R. De Silva – Chairman
Dr. L.J.S.H. Cabral, PC
Mr. M.J.S. Rajakariar

AUDITORS

Ernst & Young
Chartered Accountants
Rotunda Towers, No 109,
Galle Road, Colombo 03, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7655
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House, No. 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank of Ceylon
Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office, No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

Citi Bank N.A. Colombo.
No. 65C, Dharmapala Mawatha,
Colombo 07, Sri Lanka

Standard Chartered Bank
No. 37 York Street, Colombo 1, Sri Lanka

People's Bank
Head Office, No. 75, Sir Chittampalam A Gardiner Mawatha
Colombo 02, Sri Lanka

Nation Trust Bank PLC
Millennium House, Nawam Mawatha, Colombo 02, Sri Lanka

National Development Bank
No.40, Nawam Mawatha, Colombo 02, Sri Lanka

Cargills Bank PLC
No. 696, Galle Road, Colombo 03, Sri Lanka

Pan Asia Banking Corporation PLC
Kiribathgoda Branch, No. 67, Makola Road
Kiribathgoda, Sri Lanka